

10:00 a.m. Calendar

MATTER OF THE LORA J. OSTROM TRUST

25PR8868

TRUSTEE OSTROM-RAINEY'S MOTION FOR ATTORNEY'S FEES AGAINST WENDY PEEPLES

This probate matter brought by the Wendy Peeples aka Wendy J. Ostrom ("Petitioner") involves a Petition for Instructions for Trustee Distribution and For Accounting and Compelling the Redress of Breach of Trust against the Successor Trustee Dawn J. Ostrom ("Objector.")

Now before the Court is a motion for attorney's fees in the amount of \$4,850.76 brought by Objector.

I. Relevant Background

The petition that initiated this action was filed on March 17, 2025. On June 6, 2025, the Court held the hearing on the petition. Objector was present but her counsel was not. During the hearing, the Court noted that Ostrom did not know where her attorney was and further that her counsel, Ms. Shafer, had a history of missed appearances. The Court further noted that Ms. Shafer had failed to file any written objection. Thereafter, the Court entered an Order granting the petition, removing Objector from her fiduciary duties, and charging costs and fees to Objector.

On August 29, 2025, the Court denied Objector's motion for relief from default and motion for a new trial. Objector then filed a notice of appeal on September 10, 2025.

On September 12, 2025, Petitioner filed an ex parte application under Probate Code section 1310(b). Petitioner's application stated that she sought only narrow directions "to prevent injury or loss to the estate." The application explained that only approximately \$30,000 in liquid trust funds remain, that those funds were the only ready source for taxes, preservation expenses, record gathering, and the accounting the Court had already ordered, and that there was a substantial risk the funds would be consumed during the appeal absent protective relief.

At the hearing on that application on September 19, 2025, the Court confirmed that Objector would remain “procedurally” the trustee but that no funds were to be removed from any accounts without prior approval pending the appeal.

Objector now moves for attorney’s fees on the grounds that the ex parte application brought under Probate Code section 1310(b) was an improper petition to remove Objector as trustee (Prob. Code, § 15642.)

II. Legal Standard and Discussion

Pursuant to Probate Code section 15642(d):

If the court finds that the petition for removal of the trustee was filed in bad faith and that removal would be contrary to the settlor’s intent, the court may order that the person or persons seeking the removal of the trustee bear all or any part of the costs of the proceeding, including reasonable attorney’s fees.

Objector argues that she is entitled to attorney’s fees incurred as a result of the allegedly improper ex parte application filed on September 12, 2025. Objector asserts that she has acted properly as Trustee and Petitioner had no legitimate grounds for bringing the application.

In opposition, Petitioner argues that Probate Code sections 15462 and 1310 authorize the Court to appoint a temporary trustee or otherwise protect trust assets during an appeal.

The Court agrees with Petitioner. There is no evidence that Petitioner acted in bad faith in bringing the ex parte application pursuant to Probate Code section 1310 which authorizes the trial court to continue to take protective actions to ensure the integrity of the trust assets during the pendency of an appeal. Petitioner’s application was to ensure that the limited trust assets remain intact pending the outcome of the appeal. There is no evidence or even allegation of bad faith intent on Petitioner’s part.

Accordingly, the motion for attorney’s fees is **DENIED**.

The clerk shall provide notice of this ruling to the parties forthwith. Petitioner to submit a formal Order complying with Rule 3.1312 in conformity with this Ruling.